## CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE P

If approved by the voters, Measure P would adopt a local Transactions and Use Tax Ordinance (the "Sales Tax Ordinance"). Measure P would increase the City's existing sales tax rate by 1%, or 1 cent, on every dollar of taxable sales of goods in the City, and on the taxable storage, use or consumption in the City of goods purchased. Measure P would also extend the City's existing 1% transactions and use tax until ended by the voters.

The Measure would be a general tax, which means the tax revenue could be spent for all general governmental purposes. The City estimated that this Measure will raise approximately $24 million per year in new local revenue for use in the City. The City Council's adopted ballot question states this new revenue would be used for general City services including police, fire, 911 emergency response, neighborhood safety, street and sidewalk repair, and homelessness prevention and response. The Sales Tax Ordinance would be in effect until ended by the voters. Measure P was placed on the ballot by a unanimous vote of the City Council.

The revenue generated by the Measure will be collected by the State of California under a contract with the City, and the revenue will be paid over to the City. Accountability over revenue and expenditures from the Sales Tax Ordinance will be provided through the City's budget process and annual independent audit, which are available to the public. Financial information also is disclosed in the City's Annual Comprehensive Financial Report and other public documents. The total sales tax rate paid in Fairfield, which includes the sales tax collected for the State of California, Solano County, and other public agencies, is currently 8.375%. If the Measure is approved by the voters, the total sales tax rate paid in the City would be 9.375%, subject to any changes in state law. Sales tax is not collected on items such as prescription medications or food bought as groceries.

Article XIIIC of the California Constitution, commonly known as Proposition 218, requires that the proposed general tax be approved by a majority of the voters voting on the Measure. A "yes" vote on Measure P is to adopt the Sales Tax Ordinance. A "no" vote on Measure P is to not adopt the Sales Tax Ordinance.

David G. Lim
Fairfield City Attorney

**The above statement is an impartial analysis of Measure P. If you desire a complete copy of the Sales Tax Ordinance, please call the City Clerk at (707) 428-7384 and a copy will be sent to you at no cost.**